MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
FIFTH SEMESTER EXAMINATION -MODEL QUESTION PAPER
(2024 ADMISSION ONWARDS)
MG5DSECOM303 - LEGAL FRAMEWORK FOR FINANCIAL MARKETS

Duration: 1 hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A
Multiple Choice Questions
Answer any 20 questions
Each question carries 1 mark

1. Identify which of the following correctly represents a negotiable instrument?
A. Bill of Exchange
B. Share Certificate
C. Voucher
D. Contract (U) /(CO1)

2. Identify which of the following represents a derivative instrument?
A. Futures contract
B. Promissory Note
C. Cheque
D. Share Certificate (R) /(CO2)

3. Indicate the main objective of SEBI.
A.. Printing currency
B. Protecting investors
C. Collecting income tax
D. Controlling bank deposits (U) /(CO3)

4. Determine which of the following would be protected by copyright.
A. Currency
B. Bank account
C. Land
C. An original poem written by an author (A)/ (CO4)

5. Classify which of the following can be protected as a Geographical Indication (GI).
D. A. A new invention
B. An individual's poem
C. Kancheepuram Silk
D. A company's trademark (A) /(CO4)

6. State which of the following correctly describes a promissory note.
A. An unconditional order to pay
B. An unconditional promise to pay
C. An order to a bank to pay on demand
D. A document transferring ownership of securities (R) /(CO1)

7. Determine which of the following activities comes under the regulation of securities contracts under the Securities Contracts (Regulation) Act, 1956.
A. Purchasing Land
B. Registering a birth certificate
C. Trading in securities through a recognised stock exchange
D. Issuing Voucher (A) /(CO2)

8. Explain which of the following represents a power of SEBI?
A. Regulating the securities market
B. Printing currency notes
C. Collecting Income Tax
D. Collecting customs duty (U)/ (CO3)

9. Determine who is considered the first owner of copyright in an original literary or musical work.
A. The publisher
B. The author
C. The distributor
D. The purchaser of the work (A)/ (CO4)

10.Apply the concept of a patent and identify which of the following is most likely to be patented.
A. New invention
B. An old idea
C. A common product
D. A routine activity (A)/ (CO4)

11.Identify what is meant by "Days of Grace" in relation to a negotiable instrument.
A. Days allowed for preparing the instrument
B. Days required for transferring the instrument
C. Days allowed for cancelling the instrument
D.Additional days allowed for payment (U)/ (CO1)

12. A Special Crossing Under Sec 124 of Negiotable Instruments Act Indicates:
A. The cheque cannot be transferred
B. The cheque is cancelled by the drawer
C. The cheque is payable only through a specified banker
D. The cheque can be paid only in cash (U)/ (CO1)

13. Recall who can establish an additional trading floor under Section 13A of the Securities Contracts (Regulation) Act, 1956.
A. Reserve Bank of India
B. A recognised stock exchange
C. Securities and Exchange Board of India
D. Ministry of Finance (R)/ (CO2)

14. Recognize which of the following is associated with the clearing and settlement of trades on the NSE.
A. Securities and Exchange Board of India (SEBI)
B. National Securities Depository Limited (NSDL)
C. National Securities Clearing Corporation Limited (NSCCL)
D. Reserve Bank of India (RBI) (U)/ (CO2)

15. Recall the regulation in which the concept of "Persons Acting in Concert (PAC)" is relevant under SEBI.
A. SEBI (Substantial Acquisition of Shares and Takeovers) Regulations 2011
B. SEBI (Prohibition of Insider Trading) Regulations 2015
C. SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015
D. SEBI (Mutual Funds) Regulations 1996

(R)/ (CO3)

16.Identify the authority responsible for granting patents in India.
A. Registrar of Copyrights
B. Controller General of Patents, Designs and Trade Marks (CGPDTM)
C. Securities and Exchange Board of India (SEBI)
D. Registrar of Companies (ROC)

(U)/ (CO4)

17. Determine which of the following would amount to infringement of a registered Geographical Indication (GI).
A. Marketing goods using a protected GI name without originating from the specified region
B. Selling goods produced within the designated geographical area
C. Registering an original invention under patent law
D. Creating an original literary work (A)/ (CO4)

18. Explain what is meant by an endorsement "sans recourse" under Section 52 of the Negotiable Instruments Act, 1881.
A. The endorser keeps the instrument
B. The endorser cancels the cheque
C. The endorser is not responsible for payment
D. The endorser promises to pay the amount

(U)/(CO1)

19.Identify the maximum penalty prescribed for illegal trading or entering into contracts in violation of Section 23 of the Securities Contracts (Regulation) Act, 1956.
A. Imprisonment up to 10 years or fine up to ₹25 Crores
B. Imprisonment up to 5 years or fine, or both
C. Imprisonment up to 2 years and fine up to ₹10 lakh
D. Fine up to ₹1 lakh only

(U)/(CO2)

20.State who can be appointed as the Presiding Officer of the Securities Appellate Tribunal (SAT).
A. A serving bank manager
B. A practising Chartered Accountant
C. A company secretary
D. A person who is or has been a High Court Judge

(R) /(CO3)

21. Indicate the number of members constituting the SEBI Board under Section 4 of the SEBI Act, 1992.
A. 5 members
B. 7 members
C. 9 members
D. 11 members (U) /(CO3)

22. Determine the maximum period for which a copyright assignment can be made under the Copyright Act, 1957.

A. 5 years
B. If Mutually Agreed, No Limit
C. Lifetime
D. 89 years (A)/ (CO4)

[1x20 = 20]

Part B
Multiple Choice Questions
Answer any 25 questions
Each question carries 2 marks

23. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.
Assertion (A): A promissory note must be in writing.
Reasoning (R): An oral promise to pay money does not constitute a promissory note.
A. Both A and R are true, and R is the correct explanation of A.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. A is false, but R is true. (U)/ (CO1)

24. Consider the following statements and choose the most appropriate alternative.
Statement I: The Securities Contracts (Regulation) Act was passed in 1956.
Statement II: The Act provided for the recognition of stock exchanges by the Central Government.
Statement III: The provisions of the Act came into force on February 20, 1960.
A. Statements I, II and III are true.
B. Statements I and II are true, but Statement III is false.
C. Statements I and III are true, but Statement II is false.
D. Statements II and III are true, but Statement I is false. (U)/ (CO2)

25.Consider the following statements and choose the most appropriate alternative.
Statement I: The Central Government may withdraw the recognition granted to a stock exchange in the public interest.
Statement II: Withdrawal of recognition is done with help of RBI
Statement III: Before withdrawing recognition, the governing body of the stock exchange is given an opportunity to be heard.
Statement IV: Upon cancellation of recognition, the stock exchange ceases to be a recognised stock exchange.

A. Statements I, III and IV are true, but Statement II is false.
B. Statements I and II are true, but Statements III and IV are false.
C. Statements II and III are true, but Statements I and IV are false.
D. All four statements are true. (U) /(CO2)

26.Recall the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.
Assertion (A): Insider trading gives an unfair advantage to a person possessing material non-public information.
Reasoning (R): Such information is not available to the general public and may influence the market price of securities.

A. A is true, but R is false.
B. A is false, but R is true.

C. Both A and R are true, but R is not the correct explanation of A.
D. Both A and R are true, and R is the correct explanation of A.

(R)/ (CO3)

27.Consider the following statements and choose the most appropriate alternative.
Statement I: Promoting investors' education is a developmental function of SEBI.
Statement II: Training securities market intermediaries is a developmental function of SEBI.
Statement III: Registering and regulating the business of stock exchanges is a regulatory function of SEBI.
Statement IV: Registering and regulating the working of depositories is a regulatory function of SEBI.
Statement V: Promoting and regulating self-regulatory organisations is a regulatory function of SEBI.

A. Statements I, II and III only
B. Statements II, III and IV only
C. Statements I, II, III, IV and V
D. Statements I, III and V only (U) /(CO3)

28.Recall the following statements and state which of the statements are true.

Statement (1): A patent is granted only after the applicant complies with the objections raised in the First Examination Report.
Statement (2): The patent examiner must be satisfied that the invention is novel.
Statement (3): The invention must involve an inventive step.
Statement (4): The invention must be capable of industrial application.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (R) /(CO4)

29. Apply the following information and state which of the statements are true.
Statement (1): The Registrar of Geographical Indications administers the registration and protection of Geographical Indications in India.
Statement (2): The Central Government appoints the Controller General of Patents, Designs and Trade Marks as the Registrar of Geographical Indications.
Statement (3): The Registrar heads the Geographical Indications Registry.
Statement (4): The Geographical Indications Registry is headquartered in Chennai, Tamil Nadu.
Statement (5): The Registrar of Geographical Indications is appointed under Section 3 of the Geographical Indications of Goods (Registration and Protection) Act, 1999.
Statement (6): The Geographical Indications Registry is not governed by Geographical Indications of Goods (Registration and Protection) Act, 1999.

A. (1), (2), (3) and (4) only
B. (1), (2), (4) and (5) only
C. (1), (2), (3), (4) and (5) only
D. (2), (3), (5) and (6) only (A) /(CO4)

30. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.

Assertion (A): A blank endorsement does not specify the name of the person to whom the negotiable instrument is transferred.
Reasoning (R): In a blank endorsement, the endorser simply signs his or her name on the back of the instrument.

A. Both A and R are true, and R is the correct explanation of A.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. A is false, but R is true. (U)/ (CO1)

31. Apply the following concepts of Crossing and state which of the statements are true.

Statement (1): A cheque with two parallel transverse lines across its face, with or without the words “and Company (Co).” or “Not Negotiable” between the lines, is a generally crossed cheque.
Statement (2): A generally crossed cheque can be paid only through any bank, without specifying a particular collecting bank.
Statement (3): A cheque bearing the name of a particular banker on its face, with or without parallel transverse lines, represents a special crossing.
Statement (4): A specially crossed cheque can be paid through the specific banker named in the crossing.
A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (A)/(CO1)

32. Apply the provisions of Sections 14 and 16 of the Securities Contracts (Regulation) Act, 1956, and choose the correct alternative.

Assertion (A): Section 16 of the SCRA gives the Central Government wider power to prohibit contracts in securities in the public interest or in the interest of investors.
Reasoning (R): Section 14 deals with contracts being declared void in specific areas, whereas Section 16 empowers the Central Government to prohibit contracts in securities.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (A) /(CO2)

33.Consider the following statements and state which of the statements are true.

Statement (1): A recognised stock exchange may impose conditions for listing the securities of a company or body corporate.
Statement (2): Securities listed in contravention of the prescribed conditions can be listed by the stock exchange.
Statement (3): The listing conditions may include requirements relating to capital, size, promoters and shareholding.
Statement (4): Disclosure, governance and compliance requirements may also form part of the listing conditions.

A. (1), (3) and (4) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U)/ (CO2)

34. Consider the following statements and choose the most appropriate alternative.

Statement I: A member of SEBI may be removed from office if he is adjudged an insolvent.
Statement II: A member of SEBI may be removed from office if he is convicted of an offence involving moral turpitude.

A. Both statements are true.
B. Statement I is true, and Statement II is false.
C. Statement I is false, and Statement II is true.
D. Both statements are false. (U) /(CO3)

35. Consider the following statements and state which of the statements are true.

Statement (1): SEBI has the power to make rules, regulations, guidelines and issue notifications.
Statement (2): SEBI has the power to regulate the functions of different market intermediaries.
Statement (3): SEBI has the power to cancel or suspend the registration of intermediaries.
Statement (4): SEBI has the power to regulate the issue of capital.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (R)/ (CO3)

36. Apply the concept of Intellectual Property Rights (IPR) and choose the correct alternative.

Assertion (A): Intellectual Property Rights help businesses gain a competitive advantage by legally protecting their innovations and creative assets.
Reasoning (R): IPR grants exclusive rights to creators, preventing others from using or commercialising the protected work without permission.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A.

(A)/(CO4)

37.Apply the provisions relating to assignment of copyright and choose the correct alternative.

Statement I: Assignment of copyright must be in writing and signed by the assignor.
Statement II: If the period of assignment is not mentioned, the law assumes the period of assignment to be five years.

A. Both statements are true.
B. Statement I is true, and Statement II is false.

C. Statement I is false, and Statement II is true.
D. Both statements are false. (A)/(CO4)

38.Recall the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.

Assertion (A): A cheque is not entitled to days of grace.
Reasoning (R): A cheque is always payable on demand and does not have a future maturity date to which days of grace can be added.

A. Both A and R are true, and R is the correct explanation of A.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. A is false, but R is true. (R)/(CO1)

39. Consider the following statements and state which of the statements are true.

Statement (1): A bearer instrument can be negotiated by mere delivery under Sec 47 of NIA
Statement (2): Negotiation by endorsement and delivery is under Sec 48 of NIA
Statement (3): In negotiation by endorsement and delivery, both endorsement and delivery are necessary.
Statement (4): Endorsement alone is sufficient to complete the negotiation of an instrument.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U) /(CO1)

40.Apply the provisions relating to contracts in securities and identify the set of statements that correctly describes the recognised types of contracts.

Statement (1): Spot delivery contracts involve delivery and payment on the same day or the next day.
Statement (2): Ready delivery contracts involve delivery within 11 days after the date of the contract.
Statement (3): Forward contracts involve delivery beyond the period specified for ready delivery contracts.
Statement (4): Derivative contracts derive their value from underlying securities and are valid under Section 18A when traded on a recognised stock exchange.
Statement (5): Perpetual contracts have no fixed delivery date and may be rolled over indefinitely.

A. (1), (2) and (3) only
B. (1), (3) and (4) only
C. (1), (2), (3) and (5) only
D. (1), (2), (3) and (4) only (A)/(CO2)

41.Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative.

Assertion (A): The Securities Appellate Tribunal has the power to confirm, modify or set aside a decision of a recognised stock exchange.
Reasoning (R): The Tribunal may also stay the operation of the exchange’s decision and call for the relevant records.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (U)/ (CO2)

42. Consider the following statements and choose the most appropriate alternative.

Statement I: Price manipulation is a practice covered under fraudulent and unfair trade practices.
Statement II: Front-running is a practice covered under fraudulent and unfair trade practices.

A. Both statements are true.
B. Statement I is true, and Statement II is false.
C. Statement I is false, and Statement II is true.
D. Both statements are false. (R)/ (CO3)

43.Understand the following statements and choose the correct alternative.

Assertion (A): SEBI was initially established in 1988 as a non-statutory body and was later made a statutory body in 1992.
Reasoning (R): SEBI was given statutory status to provide it with legal authority and enforcement powers to regulate the securities market.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.
C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (U)/ (CO3)

44.Understand the following statements and state which of the statements are true.

Statement (1): The Registrar has the power to examine applications for registration of geographical indications.
Statement (2): The Registrar has the power to accept or reject applications for registration.
Statement (3): The Registrar has the power to hear opposition proceedings and register geographical indications.
Statement (4): The Registrar has no power to register renew the registration of geographical indications.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U) /(CO4)

45. Apply the concept of copyright and choose the correct alternative.

Assertion (A): A copyright holder can prevent another person from reproducing an original work without permission.
Reasoning (R): Copyright gives the owner exclusive economic rights, including the right to reproduce the work.

A. A is false, but R is true.
B. Both A and R are true, but R is not the correct explanation of A.

C. A is true, but R is false.
D. Both A and R are true, and R is the correct explanation of A. (A)/ (CO4)

46.Recall the following statements and choose the most appropriate alternative.

Statement I: A holder may or may not have given consideration for the negotiable instrument.
Statement II: A holder in due course must have acquired the instrument for value, in good faith, and before its maturity.

A. Both statements are true.
B. Statement I is true, and Statement II is false.
C. Statement I is false, and Statement II is true.
D. Both statements are false. (R)/(CO1)

47.Understand the following parties to a negotiable instrument with their correct descriptions.

Column I	Column II
(a) Drawer	(i) Person directed to pay the amount
(b) Drawee	(ii) Person accepting the bill for the honour of another party
(c) Drawee in case of need	(iii) Person who makes or draws the bill
(d) Acceptor for honour	(iv) Person named in the instrument to whom the holder may resort in case of need

A. (a)–(iii), (b)–(i), (c)–(iv), (d)–(ii)
B. (a)–(i), (b)–(iv), (c)–(ii), (d)–(iii)
C. (a)–(iv), (b)–(ii), (c)–(iii), (d)–(i)
D. (a)–(ii), (b)–(iii), (c)–(i), (d)–(iv) (U)/ (CO1)

48.Match the following grounds for Withdrawal/Cancellation of Recognition of Stock Exchange with the appropriate description.

Column I – Grounds	Column II – Description
(a) Failure to comply with conditions of recognition	(i) Giving up recognition voluntarily by the stock exchange
(b) Failure to comply with SEBI directions	(ii) Not fulfilling the conditions prescribed for recognition
(c) Failure to complete corporatisation and demutualisation	(iii) Not following directions issued by SEBI
(d) Voluntary surrender	(iv) Failure to complete the required corporatization and demutualization process

A. (a)–(i), (b)–(iv), (c)–(iii), (d)–(ii)
B. (a)–(iii), (b)–(ii), (c)–(i), (d)–(iv)
C. (a)–(iv), (b)–(i), (c)–(ii), (d)–(iii)
D. (a)–(ii), (b)–(iii), (c)–(iv), (d)–(i) (U)/(CO2)

49. Consider the following statements and state which of the statements are true.

Statement (1): SAT has the same powers as those vested in a civil court under the Code of Civil Procedure, 1908.
Statement (2): SAT has the power to stay the operation of an order made by SEBI pending the hearing and final disposal of an appeal.
Statement (3): SAT has the power to award costs to the successful party and direct the unsuccessful party to pay such costs.
Statement (4): SAT has the power to regulate its own procedure in accordance with the SAT Procedure Rules, 2000.

A. (1), (2) and (3) only
B. (1) and (4) only
C. (2), (3) and (4) only
D. (1), (2), (3) and (4) (U) /(CO3)

[2x25 = 50]